A FREE, PLAIN-SPOKEN GUIDE



Naked Short Selling

The Rules, the Record, the Controversy, and What Everyday Investors Can Do

Reg SHO • Fails to deliver • GameStop
Tips • Complaints • Getting money back

D.A. Williams

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A Plain-Spoken Guide to the Rules, the Record, and the Controversy, and What Everyday Investors Can Do

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Published by Red Pills of Freedom

Free to share. Please pass it on to someone who needs it.

Dedicated to Mom, Janis Fredlund

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Scenes marked "Example" are made up to show how something works. They are not about real people, firms, or stocks.

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INTRODUCTION

Why This Book

Few investing topics stir up as much anger as “naked short selling.” Some people say it is how Wall Street secretly crushes small companies and their shareholders. Others say it is a myth that losing investors use to explain away bad bets. This book takes neither side on faith. It goes to the record.

Part of the record: the Securities and Exchange Commission (SEC) itself says naked short selling “can have negative effects on the market” and that fraudsters “may use ‘naked’ short selling as a tool to manipulate the market.”[2] It wrote rules against it in 2005, tightened them in 2008 and 2009, and it has brought cases against traders and firms that broke them.[1,2] And the SEC’s own Inspector General found that of about 5,000 naked short selling complaints the agency received over 17 months, only about 2.5 percent were sent on for further investigation, and none of those led to an enforcement action.[32]

The rest of it: The SEC says naked short selling “is not necessarily a violation” of the law, and that a missed delivery of shares can happen for ordinary reasons.[1] It

warns that insiders and promoters sometimes blame naked short sellers when the real cause of a falling price is the company's own poor finances.[3] And its staff report on the 2021 GameStop frenzy found that the stock "did not experience persistent fails to deliver at the individual clearing member level."[28]

Both sets of facts are true at once. You deserve to see all of them.

How this book works

Chapters 1 through 5 explain what short selling and naked short selling are, what the rules say, and how to read the public data. Chapters 6 through 8 report what enforcement cases, government auditors, and the SEC's GameStop report found. Chapter 9 sorts critics' claims into what is proven, disputed, or unproven. Chapters 10 and 11 are the practical part: how to protect yourself, and how to file a tip, complaint, or claim for money if you have been harmed.

A word about fairness

This book names firms and people only where a regulator or court named them in a public record. It says what the regulator found and what the firm agreed to, and it tells you when a firm settled "without admitting or denying" the findings. Most of these cases are years old. Nothing here says any named firm is breaking the rules

today. The point is to help you tell a real problem from a rumor.

CHAPTER 1

Short Selling in Plain English

Buying low and selling high, in reverse

Most investors buy a stock, hope the price rises, and sell. A short seller does the reverse: sell first, buy later, and hope the price falls in between.

How can you sell something you do not own? You borrow it. The SEC explains: “Typically, when you sell short, your brokerage firm loans you the stock. The stock you borrow comes from either the firm’s own inventory, the margin account of other brokerage firm clients, or another lender.” The short seller pays interest on the loan and must pay any dividends to the lender.[1]

The SEC’s own example

An investor thinks Company A’s stock, now $60, will fall. The investor borrows shares and sells them at $60. If the price drops to $40, the investor buys shares to return and keeps about $20 a share, minus costs. If the price rises to $80 instead, the investor loses $20 a share.[1]

That is the big risk. When you buy a stock, the most you can lose is what you paid. Shorting, the SEC notes, leaves

you "open to the possibility of unlimited losses, since a stock can theoretically keep rising indefinitely."[1]

Why short selling is legal

Regulators say short selling serves real purposes: profiting from an expected price drop, providing liquidity when buyers show up unexpectedly, and hedging risk.[1] In 2009 the SEC added that it can contribute "to efficient price discovery, mitigating market bubbles, increasing market liquidity, promoting capital formation."[16]

What is illegal is abuse. "Although the vast majority of short sales are legal, abusive short sale practices are illegal. Short sales used to manipulate the price of a stock are prohibited."[1]

Settlement: the day the shares must show up

One more idea unlocks everything else: settlement. A trade happens right away, but the shares and money change hands a little later. For years that took two business days ("T+2"). Since May 28, 2024, the standard is one business day ("T+1").[11] Older documents mention T+3 or T+2 because they were written when settlement took longer.

When a seller's shares do not arrive by the settlement date, that is a "failure to deliver," or a "fail." Keep that term in mind.

CHAPTER 2

What Makes a Short Sale "Naked"

The definition

In an ordinary short sale, the seller borrows the shares, or lines up a loan, before selling. In a naked short sale, the seller does not. The SEC's definition: "In a 'naked' short sale, the seller does not borrow or arrange to borrow the securities in time to make delivery to the buyer within the standard one-day settlement period. As a result, the seller fails to deliver securities to the buyer when delivery is due."[1]

Not every naked short sale is illegal

This surprises many people. The SEC says: "'Naked' short selling is not necessarily a violation of the federal securities laws or the Commission's rules. Indeed, in certain circumstances, 'naked' short selling contributes to market liquidity."[1] The main example is market makers, covered in Chapter 4.

Not every fail is a naked short

A fail does not prove anyone shorted anything. “Failures to deliver may result from either a short or a long sale. There may be legitimate reasons for a failure to deliver.”[1] (A “long sale” is an ordinary sale of shares you own.) The SEC’s data page is blunt: fails “are not necessarily the result of short selling, and are not evidence of abusive short selling or ‘naked’ short selling.”[20]

When it becomes illegal

Several rules draw the line:

- **No “locate.”** Before a short sale, a broker-dealer generally must have borrowed the stock, arranged to borrow it, or have “reasonable grounds to believe” it can be borrowed in time, and must document that.[5]
- **Fails not fixed in time.** Clearing brokers must close out fails by firm deadlines, by buying or borrowing the shares.[5]
- **Lying about delivery.** Rule 10b-21, adopted in 2008, targets those “who lie about their intention or ability to deliver securities in time for settlement.”[13]
- **Manipulation.** Using any short sale to manipulate a price is illegal.[1]

Why regulators care

Fails that pile up can leave “a significantly large unfulfilled delivery obligation at the clearing agency where trades are settled.”[4] And in 2008 the SEC wrote that because the abusive naked short seller “doesn’t actually borrow the stock,” naked shorting “can allow manipulators to force prices down far lower than would be possible in legitimate short-selling conditions.”[13]

So the official view is: sometimes legitimate, sometimes illegal, and potentially dangerous when abused.

CHAPTER 3

The Rules, from 2005 to Today

Regulation SHO, the main short selling rulebook, was adopted to update rules first written in 1938 and "to address concerns regarding persistent failures to deliver and potentially abusive 'naked' short selling."[1] Here is how it grew.

2005: Regulation SHO begins

Compliance began January 3, 2005.[1] Three core requirements still apply:[5]

1. **Marking (Rule 200).** Every sell order must be marked "long," "short," or "short exempt," so regulators can see what was a short sale.
2. **Locate (Rule 203(b)(1)).** Before a short sale, the broker-dealer must have reasonable grounds to believe the stock can be borrowed and delivered on time, and must document it.
3. **Close-out for problem stocks (Rule 203(b)(3)).** Stocks with large, lasting fails go on a public "threshold securities" list. Clearing firms must buy

shares to close out fails in those stocks that last 13 settlement days in a row.

A stock joins the threshold list when it has fails at a clearing agency for five settlement days in a row, totaling at least 10,000 shares and at least 0.5 percent of shares outstanding.[6] The original rules had two carve-outs: a "grandfather" provision for some older fails, removed in 2007, and an "options market maker" exception, removed in 2008.[2]

July 2008: An emergency order for 19 financial firms

As the financial crisis grew, the SEC ordered on July 15, 2008 that anyone short selling Fannie Mae, Freddie Mac, and 17 large financial firms must "arrange beforehand to borrow the securities and deliver them at settlement." It took effect July 21.[12] Emergency orders are limited to 30 days, and this one expired August 12.[13] The Government Accountability Office (GAO) later reported that the SEC "did not have evidence that manipulative naked short selling was occurring" in those stocks; it acted out of concern that rumors and naked shorting "could accelerate a price decline."[36]

September 2008: Tougher rules for all stocks, and a short-selling ban

On September 17, 2008, the SEC acted for "the securities of all public companies":[13]

- **A hard close-out rule (Rule 204T).** If a short sale was not closed out on time, the broker could make no further short sales in that stock, for any customer, unless the shares were "pre-borrowed."
- **The options market maker exception ended.** Options market makers would be "treated in the same way as all other market participants."
- **A new antifraud rule, Rule 10b-21,** for those who lie about their ability to deliver.

Two days later, acting with the U.K. Financial Services Authority, the SEC temporarily banned *all* short selling, not just naked shorting, in 799 financial companies.[14] The ban expired on October 8, 2008.[15]

2009: Close-out becomes permanent

On July 27, 2009, the SEC made the close-out rule permanent as Rule 204, which "requires broker-dealers to promptly purchase or borrow securities to deliver on a short sale." It also said a roundtable would consider requiring short sellers to pre-borrow, possibly as a pilot.[16] A market-wide pre-borrow rule was not adopted.

Did the changes work? An SEC economic staff memo found that fails "declined by 63.4% across all securities and 80.5% for threshold stocks" after the changes.[17] That measures fails, not naked shorting directly.

How Rule 204 works today

A clearing broker with a fail from a short sale must close it out, by buying or borrowing shares, "by no later than the beginning of regular trading hours on the settlement day following the settlement date." For fails from long sales or bona fide market making, the deadline is the start of trading on the third settlement day after the settlement date.[5] Miss the deadline, and what the Financial Industry Regulatory Authority (FINRA) calls the "penalty box" applies: no more short sales in that stock without borrowing or firmly arranging to borrow first.[6,48]

2010 to today

- **Rule 201 (2010).** When a stock falls at least 10 percent in a day, a "circuit breaker" restricts short sale prices for the rest of that day and the next.[10]
- **One-day settlement (2024).** When adopting T+1 in 2023, then-Chair Gary Gensler said it addressed "one of the four areas the staff recommended the Commission address in response to the meme stock events of 2021."[11]

- **Short-position reporting (on hold).** In October 2023 the SEC adopted Rule 13f-2 and Form SHO, requiring large investment managers to report short positions monthly, with the SEC publishing aggregated data.[18] In August 2025, a federal appeals court sent the rule back for more economic analysis without throwing it out.[19] The SEC then postponed compliance to January 2, 2028.[18] Check the SEC's website for updates.

A timeline at a glance

Date	What happened	Source
Jan 3, 2005	Regulation SHO begins: marking, locate, threshold list, close-out	SEC[1]
2007	"Grandfather" exception removed	SEC[2]
July 21 to Aug 12, 2008	Emergency pre-borrow order for 19 financial firms	SEC[12,13]
Sept 18, 2008	Hard close-out (Rule 204T); options market maker exception ended; Rule 10b-21	SEC[13]
Sept 19 to Oct 8, 2008	Temporary ban on all short selling in 799 financial stocks	SEC[14,15]
July 2009	Rule 204 made permanent	SEC[16]
2010	Rule 201 price test adopted	SEC[2]
May 28, 2024	Standard settlement moves to one day (T+1)	SEC[11]
Jan 2, 2028	Postponed compliance date for Form SHO	SEC[18]

CHAPTER 4

The Market-Maker Exception

Why it exists

A market maker stands ready to buy or sell a stock at posted prices all day, which is why you can usually sell the moment you want to. Sometimes it must sell a stock it does not have. The SEC explains that a market maker "engaged in bona fide market making, particularly in a fast-moving market, may need to sell the security short without having arranged to borrow shares," especially in "thinly traded, illiquid stocks."[8]

So Regulation SHO excepts bona fide market making from the locate requirement.[8] It is not a free pass forever: under Rule 204, those fails must still be closed out by the start of trading on the third settlement day after settlement.[5]

What it does not cover

The SEC says "this exception is limited." Bona fide market making does not include:[8]

- activity "related to speculative selling strategies or investment purposes of the broker-dealer";

- activity "disproportionate to the usual market making patterns or practices" of the firm;
- posting offers to sell near the best price without also posting bids to buy near the best price; or
- arrangements to let someone else use the market maker's exception to dodge the locate rule.

The old options market maker exception

A separate "options market maker" exception from the 13-day close-out rule ended in September 2008.[13] The GAO reported that the SEC had analyzed 2006 data and "found that some threshold securities were persisting on the threshold list due to option market makers claiming an exception to the close-out requirement."[38]

Documented misuse

The GAO reported that the American Stock Exchange brought two disciplinary actions against options traders. According to the exchange's findings, each trader "utilized the market maker exemption to impermissibly engage in naked short selling by failing to locate securities to borrow" and used trades "designed to circumvent Regulation SHO delivery obligations," keeping naked short positions in some threshold stocks "for a virtually unlimited period of time." The Chicago Board Options Exchange had opened 26 investigations into similar activity, and exchange and FINRA staff said

such activity “appears to have ceased” after the actions became public.[40]

The honest summary: the exception exists for a real reason, the SEC says it is narrow, and regulators have found that some traders abused it, especially before the 2008 changes.

CHAPTER 5

Fails-to-Deliver Data and How to Read It

The SEC publishes fails-to-deliver data for free, and many people post charts made from it. Here is how to read it.

Where to find it

Search for "SEC Fails-to-Deliver Data." The data runs from February 2004 to the present, in two files per month: the first half of a month is posted at the month's end, and the second half around the 15th of the next month.[20] The files are plain text with fields separated by a "|" character. The SEC suggests opening them in a spreadsheet or statistics program;[20] when importing, choose "|" as the separator.

What the columns mean

Each row is one security on one settlement date:[20]

Column	What it means
SETTLEMENT DATE	The date the number applies to (year, month, day)
CUSIP	A 9-character ID code for the security
SYMBOL	The ticker symbol
QUANTITY (FAILS)	Total fails-to-deliver shares, as a balance
DESCRIPTION	The company or security name
PRICE	The prior day's closing price, if available and over a penny

The key caution: it is a balance, not a daily count

This is where many online charts go wrong. The SEC says fails on a given day "are a cumulative number of all fails outstanding until that day, plus new fails that occur that day, less fails that settle that day. The figure is not a daily amount of fails."[20]

Think of a bathtub. The number tells you how much water is in the tub, not how much came from the faucet that day or how long it has sat there. The SEC says "the age of fails cannot be determined by looking at these numbers."[20] So **never add up** daily numbers. If 50,000 shares stay stuck for five days, adding the days gives 250,000, which is wrong. The balance was 50,000 all along.

Other cautions from the SEC

- **No row means zero (since September 16, 2008).** Before that date, only balances of at least 10,000 shares were included.[20]
- **Different sources each day.** The fails on one day are "not necessarily the same" as on the day before or after.[20]
- **Long and short sales mixed.** Fails "can occur for a number of reasons on both long and short sales."[20] The GAO agreed: the data "do not distinguish between the two types of sales. Therefore, we cannot determine the cause of FTD from these data."[38]
- **All firms combined.** The numbers aggregate all members of the National Securities Clearing Corporation (NSCC).[20] You cannot see which firm failed.
- **No accuracy guarantee.** "We cannot guarantee the accuracy of the data."[20]

Putting a number in context

A raw share count means little alone. Two comparisons help. First, divide the fail balance by the company's shares outstanding, the same idea the threshold list uses with its 0.5 percent trigger.[6] Second, watch whether it lasts. The SEC staff's GameStop review focused on exactly that: whether fails were "persistent."[28]

Example (made up to show the math): Lena looks up a small company with 20 million shares outstanding. One settlement date shows a fail balance of 150,000 shares, which is 0.75 percent. The next three dates show 140,000, then 30,000, then no row, meaning zero. Lena adds nothing up. The balance was briefly large and cleared within days, and the stock never made a threshold list, which takes five settlement days in a row above the limits.[6] Her conclusion: the data shows a short-lived fail, and it cannot tell her whether anyone sold short at all.

Threshold lists and short interest

Nasdaq, the New York Stock Exchange, and FINRA (for over-the-counter stocks) publish daily threshold lists (see Resources).[2,22] The SEC says being on the list "should not be interpreted as connoting anything negative" about a company and "does not necessarily mean that there has been abusive 'naked' short selling."[7]

Short interest is different: the shares sold short and not yet bought back. FINRA requires member firms to report short positions twice a month and publishes the data.[21] A large short interest can be completely legal. It can even top 100 percent of a company's shares without any fails, "when the same shares are lent multiple times by successive purchasers."[25] Chapter 8 shows how.

What the data cannot tell you

Public fails data can show that a fail balance existed in a stock on a date. It cannot show who failed, why, whether a short sale was involved, how old the fails were, or whether a rule was broken. SEC staff wrote that "direct measures of naked short selling do not exist."[28] Claims that a chart "proves" naked shorting go beyond what the data can show.

CHAPTER 6

Enforcement Cases and Fines

These cases come from each regulator's own record.

How to read these cases

- **"Without admitting or denying"** means the party accepted the penalty but did not admit the findings. It is not a court verdict.
- **Disgorgement** means giving back profits from a violation. **Prejudgment interest** is interest on that money. A **penalty** or **fine** is a separate punishment.
- **Not every violation is fraud.** The GAO noted that Regulation SHO compliance violations "do not necessarily indicate that manipulative naked short selling has occurred."[41]

2003: Rhino Advisors

In 2003, the SEC filed a settled case against Rhino Advisors, Inc. and its president, Thomas Badian. The SEC alleged they directed "a series of manipulative short sales" of Sedona Corporation stock to depress its price so a client would receive more shares when converting a $3 million debenture. Without admitting or denying the

allegations, they agreed to an injunction and a $1 million civil penalty.[44] The SEC's "Key Points" page lists this case as one "alleging manipulative 'naked' short selling, in a scheme sometimes termed as a 'death spiral.'"[9]

2009: The first locate and close-out cases

On August 5, 2009, the SEC announced its first enforcement actions under the Regulation SHO locate and close-out rules.[42]

The SEC said the traders and their firms "improperly claimed that they were entitled to an exception to the locate requirement," and made trades that "created the appearance" of complying with the close-out rule when they were not.[42]

- **Hazan Capital Management and Steven Hazan.** The SEC found misconduct from January 2005 to October 2007 and ill-gotten gains of at least $3 million. The settlement included $3 million in disgorgement (satisfied through NYSE Amex and NYSE Arca orders), $1 million in exchange fines, and a bar for Hazan with the right to reapply after five years.
- **TJM Proprietary Trading, Michael Benson, and John Burke.** The SEC found misconduct from January to July 2007. The settlement included $541,000 in disgorgement, a $250,000 CBOE fine, and suspensions.

All settled without admitting or denying the findings. The SEC also said fails had fallen about 57 percent since fall

2008, and threshold securities had dropped from about 582 in July 2008 to 63 in March 2009.[42]

2012: The Wolfson brothers and Golden Anchor Trading II

The SEC found that options traders Jeffrey and Robert Wolfson "engaged in naked short selling by failing to locate shares involved in short sales and failing to close out the resulting failures to deliver" from July 2006 to July 2007, making about $9.5 million in illegal profits. They and broker-dealer Golden Anchor Trading II LLC agreed to pay more than $14.5 million, including a $2.5 million penalty for Jeffrey Wolfson, without admitting or denying the findings.[43]

2016: optionsXpress (a contested case)

This case went to a decision. After a 2013 initial decision by an administrative law judge,[45] the full Commission found in 2016 that the online broker optionsXpress "violated its close-out obligations under Rule 204 of Regulation SHO with respect to large and continuing fail to deliver positions that arose from trading activity by its retail customers," and dismissed the case against a customer who had also been charged.[46] The final order required $1,574,599 in disgorgement, $482,120 in prejudgment interest, and a $2,000,000 penalty.[47]

2022: UBS Securities (FINRA)

FINRA found that from 2009 to 2018 UBS Securities LLC failed to timely close out certain fails, resulting in about 5,300 Rule 204(a) violations and at least 71,000 violations of the "penalty box" and pre-borrow requirements, plus at least 2,567 more in July 2016, along with supervisory failures lasting until August 2022. UBS accepted a censure and a $2.5 million fine without admitting or denying the findings.[48]

2023: Citadel Securities (order marking)

The SEC found that over a five-year period Citadel Securities LLC "incorrectly marked millions of orders," marking some short sales as long and vice versa, because of "a coding error," and gave the inaccurate data to regulators. Without admitting or denying the findings, it agreed to a censure and a $7 million penalty.[49] Note that the charge was a marking violation under Rule 200(g), not naked short selling or manipulation.

The SEC's "Key Points" page lists more settled cases, including Rhino Trading LLC (2009), Gary S. Bell (2011), and Gonul Colak and Milen K. Kostov (2014).[9]

The cases at a glance

Year	Who (regulator)	Finding	Money
2003	Rhino Advisors; Thomas Badian (SEC)[44]	Alleged manipulative short sales	$1M penalty; injunction
2009	Hazan Capital Mgmt.; Steven Hazan (SEC, with NYSE Amex/Arca)[42]	Locate and close-out violations	$3M disgorgement; $1M fines; bar
2009	TJM Proprietary Trading; Benson; Burke (SEC, with CBOE)[42]	Locate and close-out violations	$541K disgorgement; $250K fine
2012	Jeffrey and Robert Wolfson; Golden Anchor (SEC)[43]	Naked shorting, 2006 to 2007	Over $14.5M total
2016	optionsXpress (SEC, contested)[46,47]	Rule 204 close-out violations	$2M penalty; about $2.06M disgorgement and interest
2022	UBS Securities (FINRA)[48]	Thousands of Rule 204 violations; supervision	$2.5M fine; censure
2023	Citadel Securities (SEC)[49]	Order mismarking (coding error)	$7M penalty; censure

Every case in the table except optionsXpress was settled without admitting or denying the findings or allegations.

Critics argue fines like these are too small to deter large firms. That is an opinion, discussed in Chapter 9. The

record shows regulators have found real violations, at small trading firms and at large, well-known firms.

CHAPTER 7

What the Inspector General and the GAO Found

Regulators get checked too. Two official reviews from 2009 looked at how the SEC handled naked short selling.

The SEC Inspector General, Report No. 450 (March 2009)

The SEC's Office of Inspector General (OIG) independently audits the agency. Its report, "Practices Related to Naked Short Selling Complaints and Referrals," found:[31]

- **Few complaints moved forward.** "Of approximately 5,000 naked short selling complaints received" from January 1, 2007 to June 1, 2008, "only 123 (approximately 2.5 percent) were forwarded for further investigation," and only because their subjects were already under investigation. None "resulted in enforcement actions."[32] (The 5,000 included repeat complaints from the same people about the same stocks.[33])

- **Almost none in the main database.** Only six of about 1,900 complaints in the Enforcement Division's tracking database alleged naked shorting, and none of about 900 referrals from self-regulatory organizations like FINRA involved it.[32]
- **No triage steps** for naked shorting complaints, though other kinds, such as insider trading, had them.[32]
- **Level II complaints screened out.** Staff were told generally not to forward complaints based on "Level II" trading screen data, so many naked shorting complaints were "automatically not forwarded."[32]
- **No supervisory review** of the first screening, risking that complaints "with potential merit may be eliminated."[32]

The Enforcement Division said such complaints were not treated differently and "generally do not provide sufficient information to warrant pursuit."[32] The OIG made 11 recommendations.[31] The practical lesson: in that period, a complaint based only on a trading screen was unlikely to go far. The SEC's current guidance says facts you witnessed firsthand are more useful (see Chapter 11).

The GAO, Report GAO-09-483 (May 2009)

The GAO is Congress's independent auditor. Its report found:[34]

- **Fails dropped, but would it last?** Threshold securities declined after the stricter 2008 close-out rule, "but it is not clear whether this trend can be sustained."[35]
- **Some stocks lingered.** About 300 securities stayed on the threshold list more than 90 days between 2005 and 2008, falling to zero after the September 2008 order. The GAO noted this did not by itself prove violations.[37]
- **Critics wanted pre-borrowing.** Some issuers and others said a trader could still "naked short sell without limit, flooding the market with sell orders," if the trader bought back before settlement.[37]
- **SEC staff disagreed on the fix.** They said pre-borrowing's costs "might outweigh the benefits because FTD represent 0.01 percent of the dollar value of trades," and that likely targets were small, thinly traded, or illiquid stocks.[35]
- **Locate gaps.** Examiners found "that some broker-dealers do not monitor whether the source a broker-dealer uses to locate available securities is reasonable."[35]
- **Violations called "technical."** Exams of 19 clearing firms soon after Regulation SHO began "found

deficiencies with Regulation SHO requirements at all 19," but examiners "generally did not find evidence that these deficiencies were part of a deliberate problem."[39]

- **Unfinished guidance.** Draft 2007 guidance on prime broker communications was never finalized. The GAO warned the gap "may create the perception that prime brokerage customers—typically, hedge funds or large investors—are allowed to circumvent Regulation SHO."[41]

The GAO recommended that the SEC speed up that guidance and create a process for answering questions about temporary rules.[35]

What these reports do and do not prove

They are official evidence that, in 2007 and 2008, the SEC's handling of naked shorting complaints had real weaknesses, and that some firms had gaps in following the locate rule. They do not prove any particular stock was manipulated or measure how much illegal naked shorting occurred. Both are more than 15 years old, and the rules have changed since. This book found no later OIG or GAO report focused on naked short selling.

CHAPTER 8

GameStop, January 2021

In January 2021, the stock of video game retailer GameStop (ticker GME) went on a wild run. Many investors believe naked short selling was at its center. In October 2021, SEC staff published a detailed report.[23] It is a staff report, not a ruling, and this chapter reports what it found.

The price and the short interest

GME traded a little under $20 at the end of 2020. By January 27, 2021, it closed at $347.51, more than 1,600 percent above its January 11 close, and the next day it hit an intraday high of $483.00. By February 3 it was below $100.[24]

Short interest reached 109.26 percent of shares outstanding on December 31, 2020, and 122.97 percent of float (shares available to trade) in January 2021.[25] How can more than 100 percent of shares be sold short? The report answers: “Short interest can exceed 100%—as it did with GME—when the same shares are lent multiple times by successive purchasers.”[25]

Example (made up to show the idea): Sam lends his one share to Pat, who sells it short to Chris. Chris lends that same share to Dana, who sells it short to Eli. One share exists, held by Eli, but two short positions are open. Both short sellers properly borrowed. No fail or naked short is needed.

Was it a short squeeze?

In a "short squeeze," short sellers rush to buy shares to cover, pushing the price higher. Staff found that such buying "likely contributed" to some price jumps but "was a small fraction of overall buy volume," and concluded: "it was the positive sentiment, not the buying-to-cover, that sustained the weeks-long price appreciation of GameStop stock."[26] A short squeeze "did not appear to be the main driver of events."[27]

Was there naked short selling?

The report said the heavy shorting "raised the question of whether some of the short sales were 'naked.'" Staff "did observe spikes in fails to deliver in GME," but fails "can occur either with short or long sales, making them an imperfect measure of naked short selling." And "based on the staff's review of the available data, GME did not experience persistent fails to deliver at the individual clearing member level"; most clearing members cleared fails "within a few days."[28]

Note two things. The report did not say there were no fails or no naked shorting. And it admitted the limits of the evidence: “direct measures of naked short selling do not exist.”[28]

Why brokers restricted trading

On January 28, several brokers stopped customers from buying GME and some other stocks. The clearinghouse, the NSCC, requires members to post collateral against unsettled trades. That day it made intraday margin calls to 36 clearing members totaling $6.9 billion. The report found that “volatility combined with settlement risks led some firms to temporarily restrict trading.”[29]

What changed afterward

Among the areas the report flagged for further study was shortening the settlement cycle.[30] The SEC moved to one-day settlement in May 2024, and tied that change to the staff’s post-meme-stock recommendations.[11] New short-position reporting rules adopted in 2023 are postponed to 2028.[18]

CHAPTER 9

What Critics Say, and What the Record Shows

Critics of the SEC's approach include company executives, some market professionals, and many individual investors. Here is how their claims sort out.

The labels:

- **Proven** means an official source (a regulator's finding, a Commission decision, or a government audit) supports it.
- **Disputed** means officials and critics disagree on judgment or policy.
- **Unproven** means this book found no official record establishing it. Unproven does not mean false. It means the evidence has not been shown.

The claims, sorted

Claim	What the official record shows	Label
Illegal naked short selling has happened.	The SEC found that the Wolfson brothers “engaged in naked short selling” in violation of the rules, and found locate and close-out violations in other cases.	**Proven** in specific cases[43,42]
The SEC did little with naked shorting complaints.	For 2007 to mid-2008, the Inspector General found about 2.5% of roughly 5,000 complaints were forwarded, with no resulting actions. Enforcement said the complaints usually lacked enough information.	**Proven** for that period; reasons **disputed**[32]
Some traders abused market maker exceptions.	Exchange findings reported by the GAO; an SEC analysis found some stocks stayed on the threshold list because of the old options market maker exception.	**Proven** in specific past cases[40,38]
Some brokers did not follow the locate and close-out rules.	Early exams found deficiencies at all 19 firms reviewed, mostly called technical. FINRA found thousands of Rule 204 violations at UBS.	**Proven** in specific cases[39,48]

Claim	What the official record shows	Label
A pre-borrow rule is needed.	Some issuers and others urged it. SEC staff said costs might outweigh benefits. Not adopted market-wide.	**Disputed** (policy)[37,35]
Fines are too small to stop big firms.	Fines and penalties in Chapter 6 range from $250,000 to $7 million per action; one case's total topped $14.5 million.	**Disputed** (opinion)[54]
Naked shorting drove down Overstock.com's stock.	Overstock alleged it in a lawsuit. Merrill Lynch entities paid $20 million to settle, admitting no liability. No court found the claims true.	**Unproven** (allegation, settled)[50,52]
GameStop had huge numbers of "synthetic" or counterfeit shares from naked shorting.	SEC staff found fail spikes but no persistent fails at the clearing member level, and explained how legal re-lending can push short interest past 100%.	**Unproven**[28,25]
A fails-to-deliver chart proves naked shorting.	The SEC says fails come from long and short sales and "are not evidence of abusive short selling or 'naked' short selling."	**Not supported** by the data alone[20]

Claim	What the official record shows	Label
Some insiders blame naked short sellers to cover their own problems.	The SEC has warned that insiders or promoters sometimes do this to pump the price back up and sell.	**Proven** as an SEC warning; judge each company separately[3]

The Overstock.com lawsuit

The best-known corporate critic was online retailer Overstock.com and its then-CEO, Patrick Byrne. In 2007, Overstock and other plaintiffs sued several brokerage firms in California state court.[52] In Overstock's words, the suit "alleged that certain prime brokerage firms had engaged in illegal market manipulation ('naked short selling,' or selling phantom shares of stock)."[50]

The record: the trial court entered judgment for the Merrill Lynch defendants in 2012, and in November 2014 an appeals court revived part of the case against one Merrill Lynch entity.[52] In June 2015, Overstock announced it had accepted a settlement offer from Goldman Sachs, without stating an amount.[51] In January 2016, two Merrill Lynch entities agreed to pay $20 million. The agreement states: "No party in any way admits liability to any other party or to any other person or entity."[52] Overstock said the fight led to "useful changes in the way the SEC regulates close-out requirements."[50] That is Overstock's view, not an SEC finding.

The pre-borrow debate

Critics' strongest policy argument is that a "locate" is only "reasonable grounds to believe" shares can be borrowed.[5] They told the GAO that lenders could give locates "for more shares than they have available" and urged mandatory pre-borrowing.[37] SEC staff answered that most locates never become short sales, that netting means many short sales need no borrowing at all, and that pre-borrowing's costs might outweigh its benefits.[37,35] The SEC has used pre-borrowing in limited ways, such as the 2008 emergency order and the Rule 204 "penalty box."[12,6] Reasonable people disagree. It is a policy choice, not a settled fact.

Retail investors after 2021

After GameStop, many individual investors wrote public comments to the SEC. One, signed "Anon," "Retail Investor GME," read in part: "Naked short selling. Synthetic share selling."[53] Another asked the SEC to reveal "the number of synthetic shares that have been sold, the real stats related to naked shorting and the FTD numbers," and called the fines "such a joke" that firms break rules knowingly.[54]

These letters show real distrust, but they are not evidence. The SEC staff report, the most detailed official review, found no persistent fails at the clearing member level in GME, while admitting that direct measures of

naked shorting do not exist.[28] A careful reader can hold both points.

Fair questions that remain

- How has the SEC changed its handling of naked shorting complaints since 2009? This book found no later public audit.
- Will Form SHO short-position reporting take effect, and in what form?[18]
- How common are violations today? Enforcement cases show what was caught, not what was missed.

Asking these questions is fair. Answering them with rumors is not.

CHAPTER 10

How Everyday Investors Can Protect Themselves

You cannot stop naked short selling yourself, but you can protect your money and your records.

1. **Do not trade on rumors or charts.** Fails data is a running balance, and the SEC says it is not evidence of naked shorting.[20]
2. **Be wary of anyone who blames short sellers for everything.** The SEC warns that insiders or promoters may blame "naked" short sellers for a drop, hoping to push the price up "so they can dump their own stock at higher prices," when "often, the price decrease is a result of the company's poor financial situation."[3] Read the company's own SEC filings.
3. **Know where your shares are.** Borrowed shares can come from "the margin account of other brokerage firm clients."[1] Check your account agreement for whether your broker may lend your shares. If unsure, ask in writing and keep the answer.

4. **Check your broker.** FINRA's free BrokerCheck shows a firm's or broker's disclosures, including customer disputes, disciplinary events, and arbitration awards. FINRA notes some items "may involve pending actions or allegations that have not been resolved or proven."[55] Confirm your firm is a SIPC member on SIPC's member list.[64]
5. **Keep records.** Save statements, trade confirmations, and messages. You will need them for any complaint or claim.[65,61]
6. **Complain fast, in writing.** FINRA says to "immediately question your broker about any transaction that you do not understand or did not authorize," and to complain in writing if you lost money or there was an unauthorized trade.[56] SIPC guidance warns that without "a timely written complaint," you "could be deemed to have accepted the trade."[65]
7. **If you short, know the risk.** Losses can be unlimited, and you pay interest and any dividends.[1]
8. **Watch for "recovery" scammers.** The SEC says, "Harmed investors should never pay upfront to recover their investment."[67]

CHAPTER 11

How to File a Tip, Complaint, or Claim, Step by Step

Here are the main paths, in the order most people should use them. A tip to the SEC can help stop wrongdoing, but it does not get your money back. To seek money, you usually need arbitration, a SIPC claim, an SEC distribution, or a class action.

Before you start: gather your documents

Collect these, and send copies, never your only originals:

- Account statements for the months involved
- Trade confirmations for each trade in question
- Your account agreement (look for arbitration and securities lending terms)
- All letters, emails, chat messages, and notes of phone calls with the firm, with dates and names
- Names, addresses, websites, and phone numbers of every person or firm involved
- A short written timeline: who, what, where, when, and why

- The amount you invested, listed separately from any profit or loss you claim

The SEC's tip guidance asks for most of these, including the "who, what, where, when, and why," and notes that "screenshots are less helpful than original documents."[61]

Step 1: Complain to your brokerage firm in writing

FINRA says to contact your firm first: question your broker, then, if not satisfied, "the firm's branch manager or compliance department," in writing. "Retain copies of your letter and of all other related correspondence."[56]

Sample letter (fill in the brackets):

> *[Date]*
>
> *To: Compliance Department, [Firm name and address]*
>
> *Re: Written complaint, account number ending [last 4 digits]*
>
> *I am writing to formally complain about [describe the problem in one sentence, for example: "a sale of 200 shares of XYZ on March 3, 2026, which I did not authorize"].*
>
> *What happened: [Short timeline with dates.]*

> *What I am asking for: [For example: "Reverse the trade and restore my account to its prior position" or "a written explanation of why my order was not executed as placed."]*
>
> *Enclosed are copies of [list documents]. Please respond in writing within 30 days. If this is not resolved, I intend to file complaints with FINRA, the SEC, and my state securities regulator.*
>
> *[Your name, address, phone, email]*

(The 30 days is a deadline you set, not a legal rule.) Send it in a way you can prove, such as certified mail.

Step 2: File a complaint with FINRA

If the firm does not fix it, file through FINRA's online Complaint Program. FINRA investigates brokerage firms and their employees, and its sanctions "may include fines, suspensions, a barring from the securities industry." It may pass complaints outside its reach to another regulator, and it no longer accepts complaints by fax.[56]

Know the limits. FINRA says there is no assurance its action "will result in a payment or return of funds," and relying only on its investigation "may close other avenues of redress if you wait too long."[57] To seek money, also see Step 5.

If you suspect a crime, FINRA also suggests local police, the FBI, or IC3.gov for cybercrime.[56]

Step 3: Send a tip or complaint to the SEC

The SEC's online form is called a TCR (Tip, Complaint, or Referral). It has seven steps:[60]

1. What is your complaint about?
2. Who are you complaining about?
3. Which investment products are involved?
4. What is your contact information?
5. Attach files.
6. Review and submit.
7. Complete.

What makes a tip useful. Submit as soon as possible. The SEC says "direct knowledge or observations may be most helpful," and that what you personally experienced or witnessed "may be more helpful than submissions based on observation of market prices and volumes or conduct you learned about through social media."[61]

Anonymous tips. You may submit anonymously, but leaving contact information lets the SEC follow up. If you want to be considered for a whistleblower award and stay anonymous, you must have a lawyer and provide the lawyer's contact information.[61]

Whistleblower awards. The SEC may pay awards to eligible people who provide "high-quality original information" that leads to an SEC enforcement action with more than $1 million in sanctions. Awards range from 10 to 30 percent of the money collected.[62]

Sample wording for the "describe" box:

> *I am a customer of [firm]. On [dates], [what you saw or experienced firsthand]. I have [statements, confirmations, emails] showing [the specific fact]. I first noticed this on [date] when [how you learned]. I invested $[amount]; my loss so far is $ [amount]. I complained to the firm in writing on [date] and received [their response or no response]. I am attaching copies.*

Stick to facts. Write "the statement shows," not "they are committing fraud." Let the regulator draw conclusions.

Step 4: Contact your state securities regulator

Every state has a securities regulator. Find yours on the North American Securities Administrators Association (NASAA) "Contact Your Regulator" page.[63] FINRA notes that problems with an investment adviser may belong with the SEC or your state regulator.[57]

Step 5: Seek money through FINRA arbitration

FINRA says it operates "the largest securities dispute resolution forum in the United States." To start, you submit:[58]

- **A Statement of Claim:** your name, whom you are claiming against, the details of the dispute, relevant dates, and the relief you want, such as money damages and interest, with supporting documents.
- **A Submission Agreement,** signed and dated.
- **A filing fee,** based on the amount of your claim, set in FINRA Rule 12900. You can request a financial hardship waiver of filing fees.

Most parties file through FINRA's online DR Portal, but investors representing themselves may file by mail.[58]

Watch the deadline. Under FINRA Rule 12206, no claim is eligible for arbitration "where six years have elapsed from the occurrence or event giving rise to the claim." Filing an arbitration claim pauses court time limits while FINRA has the case, but the rule "does not extend applicable statutes of limitations."[59] Other legal deadlines may be shorter. A securities lawyer can tell you which apply.

Sample opening for a Statement of Claim:

> *Claimant [your name] brings this claim against Respondent [firm name], a FINRA member firm, for [for example: "an unauthorized sale in Claimant's account on March 3, 2026"]. Claimant seeks $[amount] in damages, plus interest and costs. The facts are as follows: [numbered paragraphs with dates, each tied to an attached document].*

Step 6: If your brokerage firm fails, file a SIPC claim

The Securities Investor Protection Corporation (SIPC) protects customers when a member brokerage firm fails and cash or securities are missing. The limit is $500,000 per customer, including a $250,000 limit for cash.[64] SIPC "does not protect against the decline in value of your securities," worthless stocks, or bad investment advice.[64]

How it works:[65]

1. **Watch for notice.** If SIPC starts a liquidation, a court appoints a trustee, and customers are notified and mailed a claim form. (Not every firm closing needs a SIPC claim. Sometimes accounts are simply moved to another firm.)
2. **File on time.** There are two deadlines, counted from when notice of the liquidation is published. The first is set by the court, usually 30 or 60 days. The second is

six months. Claims filed after six months "will be denied as untimely," and with very narrow exceptions this "cannot be extended."

3. **Include proof.** Send account statements, trade confirmations, and relevant letters with the firm.
4. **Unauthorized trades.** Support them with evidence, "typically in the form of a timely written complaint to your brokerage firm."

Step 7: Look for money from SEC cases and class actions

SEC distributions (Fair Funds). When an SEC case recovers money, it is sometimes paid out to harmed investors. The SEC posts notices and plans on its "Distributions to Harmed Investors" page, searchable by case name.[66] For questions about a specific distribution, the SEC lists the email ENFOfficeofDistributions@sec.gov.[67]

Class actions. Private lawsuits are sometimes filed for all investors in a stock. The SEC points investors to the Securities Class Action Clearinghouse to check.[67,68] If a case settles, follow the court-approved notice for how and when to file a claim.

Verify first. Find the case on the SEC's site or the court notice yourself. Do not trust a call or email that reaches you first.

Step 8: Spot fake "recovery" firms

After a loss, you may hear from someone offering to get your money back. The SEC says fraudsters "may demand upfront fees, costs, or the private key to access crypto assets," may pretend to be from a regulator or law firm, and may falsely claim to have already recovered your funds. "If someone claims to be from the SEC and requests an upfront payment to recover funds, this is a scam."[67]

The SEC also warns about "asset recovery companies" that charge "from hundreds to thousands of dollars" and may "do little more than draft a demand letter to the original scam artist and send a boilerplate complaint to the logical regulatory agency. Those are two steps that victims can take easily on their own, free of charge."[69]

Red flags:

- They found you. The SEC says asset recovery companies "typically find potential customers by pulling names and contact information of victims from court filings and other lists of investors."[69]
- They want an upfront fee, "costs," or a crypto private key before paying you.[67]
- They claim to be from the SEC, another regulator, or a law firm, but you cannot confirm it through a number you looked up yourself.[67]

- They say they already recovered your money and need a payment to release it.[67]

If in doubt, call the SEC's Office of Investor Education and Advocacy at 1-800-732-0330 or email Help@SEC.gov.[67]

Example (made up to show the steps): Ray sees a sale of 300 shares in his account that he did not place. He calls his broker that day and writes down the name of the person he spoke with. Two days later, he mails a written complaint to the firm's compliance department with copies of his statement and the trade confirmation. After 30 days with no fix, he files a FINRA complaint and an SEC tip describing exactly what his statement shows. He also reads FINRA's arbitration page and notes the six-year limit. A week later, a stranger calls offering to "recover" his loss for a $900 fee. Ray hangs up. That is the "recovery" scam pattern the SEC warns about.

APPENDIX

The One-Page Investor Protection Checklist

Print this page. Free to copy and share.

THE NUMBER ONE RULE: Facts over rumors. Keep records, and put every complaint in writing.

Before I buy or trade

- ☐ Read the company's own SEC filings, not just social media posts.
- ☐ Be wary of anyone who blames "naked short sellers" for every price drop.
- ☐ Remember: fails-to-deliver data is a running balance, not proof of naked shorting.
- ☐ Look up my broker on **BrokerCheck** and confirm my firm is a **SIPC** member.

Every month

- ☐ Read my statements and trade confirmations. Save them.
- ☐ Know if my account type lets my broker lend my shares. Ask in writing if unsure.

If something goes wrong

- ☐ Question my broker right away. Then complain in writing to the firm's compliance department. Keep copies.
- ☐ No fix? File with **FINRA** (finra.org, File a Complaint) and the **SEC** (sec.gov/tcr).
- ☐ Contact my **state securities regulator** (nasaa.org, Contact Your Regulator).
- ☐ Want money back? Look at **FINRA arbitration**. Claims are not eligible after **6 years**.
- ☐ Broker failed? Watch for the **SIPC** claim notice. File early; the outside deadline is **6 months**.
- ☐ Check SEC **Distributions to Harmed Investors** and the **Securities Class Action Clearinghouse**.

Recovery scam red flags: They found me · They want a fee or crypto key upfront · They claim to be the SEC or a law firm · They say my money is "recovered" but I must pay to release it. **The SEC never asks for upfront payment to return money.**

Help: SEC Investor Education **1-800-732-0330** · FINRA **301-590-6500** · FINRA Senior Helpline **844-574-3577** · NASAA **202-737-0900**

From Naked Short Selling *by D.A. Williams. Sources are in the book's Notes. Not legal or investment advice.*

RESOURCES

Where to Get Help

All of these were checked in October 2026. Phone numbers and websites can change. Look up any organization's official website yourself.

This book is not legal or investment advice. For legal help, contact a securities lawyer or your local legal aid office.

To report or complain

- **SEC tips and complaints:** sec.gov, "Submit a Tip or Complaint."[60]
- **SEC Office of Investor Education and Advocacy:** 1-800-732-0330 or Help@SEC.gov.[67]
- **FINRA complaints:** finra.org, "File a Complaint." General inquiries 301-590-6500; Securities Helpline for Seniors 844-574-3577.[56]
- **State securities regulators:** nasaa.org, "Contact Your Regulator," or 202-737-0900.[63]
- **Possible crimes:** local police, the FBI, or IC3.gov for cybercrime.[56]

To seek money back

- **FINRA arbitration:** finra.org, "File an Arbitration or Mediation Claim."[58]
- **SIPC (failed brokerage firms):** sipc.org, or email asksipc@sipc.org.[64,65]
- **SEC distributions:** sec.gov, "Distributions to Harmed Investors"; questions to ENFOfficeofDistributions@sec.gov.[66,67]
- **Class actions:** Securities Class Action Clearinghouse, securities.stanford.edu.[68]

To check people, firms, and data

- **BrokerCheck:** brokercheck.finra.org.[55]
- **SEC fails-to-deliver data:** sec.gov, "Fails-to-Deliver Data."[20]
- **Threshold security lists:** Nasdaq Trader (nasdaqtrader.com), NYSE (nyse.com, "Threshold Securities"), and FINRA for over-the-counter stocks (otce.finra.org).[22]
- **Short interest:** finra.org, "Equity Short Interest."[21]

Read the primary documents

- SEC, "Key Points About Regulation SHO."[2]
- SEC Investor Bulletin, "An Introduction to Short Sales."[1]
- SEC Inspector General Report No. 450 (2009).[31]

- GAO-09-483 (2009).[34]
- SEC Staff Report on Equity and Options Market Structure Conditions in Early 2021.[23]

Learn more

- **Companion guides by D.A. Williams:** *Protect Your Parents*, *After a Scam*, *Is That Really Their Voice?*, *Apps That Actually Help*, *Stop Before You Pay*, *When Banks Cheat You*, *Disability Benefits Made Simple*, and *Don't Get Doxxed*, free wherever you found this book.

Notes

Web addresses were checked in October 2026. Quotations are from the agency or document named. Where an order says a firm consented without admitting or denying the findings, the findings are the regulator's, not the firm's. Page numbers refer to the page numbers printed in each document.

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